Mistake

English contract law | Study guide | Common, mutual and unilateral mistake

A mistake at the time of contracting can affect whether an agreement binds. Begin by identifying what was mistaken, who shared the mistake and whether the agreement allocated the risk. English law gives effect to many bargains made on mistaken assumptions.

1. Common mistake | The parties share a false assumption

The parties reach an apparent agreement but both assume the same state of affairs exists. Identify that assumption precisely and check whether it was already false at formation. The existence of a specified object, a right to it or a quality central to performance may be in issue.

2. Start with risk allocation

Interpret the contract before asking whether it is void. If one party promised that the assumed facts were true or agreed to supply a substitute, the agreement may allocate the risk to that party. A failure to perform may then raise a question of breach. Check who was responsible for the failure of the assumed state of affairs.

3. Apply the narrow test in Great Peace

The Court of Appeal required a shared assumption about an existing state of affairs, with no warranty of its existence and no relevant fault of either party. The absence of that state of affairs must render performance impossible, and must concern the subject matter or circumstances essential to performance. The rescue support vessel was much farther away than assumed but could still perform the agreed service.

4. A mistake about quality | Bell v Lever Brothers

A quality mistake must make the subject matter essentially different from what the parties believed it to be. In *Bell*, the employer's ignorance of earlier misconduct did not invalidate agreements to pay compensation for ending employment. A worse bargain than expected is insufficient.

> Legal English | **Void** means without contractual effect from the outset. **Voidable** means effective unless and until the entitled party sets the agreement aside.

Existence and Existing Rights

Couturier v Hastie (1856) | Cargo already sold

A cargo of corn deteriorated during the voyage and was sold by the master before the parties made their bargain. They were unaware of the earlier sale. The House of Lords construed the bargain as a sale of cargo assumed to exist and be available, rather than a purchase of the shipping venture and its risks. The buyer did not have to pay. This case illustrates *res extincta*, the assumed subject matter being gone.

Sale of Goods Act 1979 | Check when the goods perished

Section 6 applies to a sale of specific goods that had already perished at formation without the seller's knowledge. The contract is void if that provision applies. Section 7 addresses a different sequence. It applies where specific goods perish after an agreement to sell, without fault of either party, before risk passes to the buyer. The agreement is then avoided.

Cooper v Phibbs (1867) | An existing beneficial interest

Cooper agreed to lease a fishery, believing the other side was entitled to grant the interest. He already had a beneficial life interest. The House of Lords set the agreement aside on equitable terms, including provision for expenditure on improvements. The case illustrates *res sua*, a mistake about an interest the acquiring party already holds.

What Great Peace says about equitable relief

Great Peace rejected a separate equitable power to rescind a contract for common mistake where it remains valid at common law. Read *Cooper* in its particular proprietary and equitable setting. A mistake about ownership does not generally make a contract void.

> Exam method | Identify the subject matter or right, the timing of the mistake and any term or statute that allocates risk.

Different Meanings and One-Sided Error

1. Mutual mistake | The parties are at cross-purposes

Each party understands a material expression differently. Start with objective interpretation. If the words and context identify one meaning, a party's private understanding will not generally defeat the bargain. If neither meaning can be preferred and the difference is essential, there may be no contract.

2. Raffles v Wichelhaus | Two ships called Peerless

A cotton contract referred to shipment on the *Peerless*. Two ships of that name sailed from Bombay at different times. The case illustrates an ambiguity about the agreed shipment that the circumstances failed to resolve. Look for dates, specifications and shared references that might resolve an apparent conflict.

3. Unilateral mistake about a term | Hartog

The seller quoted a price per pound for hare skins after negotiating on a price per piece. The buyer must have known that the quote was a mistake. The court found no binding agreement on the erroneous terms. Identify the material term and the evidence of knowledge, such as prior quotes or a large and unexplained price difference.

4. Unilateral mistake about identity | Shogun Finance

In *Shogun Finance v Hudson*, the written hire-purchase agreement was construed as naming a specific real person. An impostor who used that identity did not become the hirer. The outcome depends on how the parties were identified and how the agreement was made. Fraud and the rights of a later purchaser can raise separate questions.

> Legal English | **At cross-purposes** describes parties who give different meanings to what is said. **Specific goods** are goods identified and agreed on when the sale contract is made.

Worked Problem and Sources

The generator destroyed before signature

Two businesses sign a contract for the sale of a used generator identified by its serial number. Unknown to either, it was destroyed in an accidental fire before they signed. The contract concerns that unit alone, with no promise of replacement or other allocation of the risk. The buyer demands delivery.

Model analysis

Classify the mistake. The parties shared a false assumption about the existence of the very unit they contracted for. It was specific goods. Section 6 of the Sale of Goods Act 1979 points to a void contract because the unit had perished before formation without the seller's knowledge.

Change the delivery promise. If the agreement instead required the seller to supply any generator meeting an agreed specification, the loss of its preferred unit would not by itself invalidate the agreement. The obligation could still be performed using an equivalent unit.

Evidence. Match the serial number in the signed agreement to the fire report. Check the time of formation, the time of destruction and any clause transferring risk.

> Variation | The identified generator perishes after an agreement to sell. If neither party is at fault and risk has not yet passed, consider section 7 instead.

Selected cases and legislation

Great Peace Shipping v Tsavliris Salvage [2002] EWCA Civ 1407, para 76 | Common mistake test
Bell v Lever Brothers [1932] AC 161 | Mistake as to quality
Couturier v Hastie (1856) 5 HL Cas 673 | Pre-existing cargo loss
Cooper v Phibbs (1867) LR 2 HL 149 | Historical casebook, p 136
Sale of Goods Act 1979 s 6 | Goods already perished
Sale of Goods Act 1979 s 7 | Goods subsequently perishing
Raffles v Wichelhaus (1864) 2 H & C 906 | Unresolved ambiguity
Hartog v Colin & Shields [1939] 3 All ER 566 | Known pricing error
Shogun Finance Ltd v Hudson [2003] UKHL 62 | Identity and written contract